

ECO 360—MONEY AND BANKING
Fall 2015

Final Exam

December 10, 2015

Name (Print): _____

SBU ID: _____

Time Limit: 2 hours and 30 minutes

Instructions: This exam contains 6 pages (not including this cover page). Check to see if any pages are missing. Enter all requested information on the top of this page and on the answer sheet provided. The exam consists of two parts. The first part is multiple choice and consists of 40 questions, each one with a value of *2 points*, for a total of 80 points. You must fill your answers for this part in the answer sheet. The second part is an open questions part. You must provide all answers in the determined area. The total amount of points for this part is *20 points*. The exam has a total of 100 points.

MULTIPLE CHOICE. Choose the one alternative that best completes the statement or answers the question.

- 1) The quantity theory of inflation indicates that the inflation rate equals _____
A) the level of the money supply minus the level of aggregate output.
B) the growth rate of the money supply minus the growth rate of aggregate output.
C) the growth rate of the money supply plus the growth rate of aggregate output.
D) the level of the money supply plus the level of aggregate output.
- 2) Suppose that from a new checkable deposit, First National Bank holds two million dollars in vault cash, eight million dollars on deposit with the Federal Reserve, and one million dollars in required reserves. Given this information, we can say First National Bank has _____ million dollars in excess reserves.
A) three B) nine C) ten D) eleven
- 3) When the value of the British pound changes from \$1.25 to \$1.50, the pound has _____ and the U.S. dollar has _____.
A) depreciated; appreciated B) depreciated; depreciated
C) appreciated; appreciated D) appreciated; depreciated
- 4) When the Fed sells \$100 worth of bonds to a primary dealer, reserves in the banking system _____
A) increase by \$100. B) increase by more than \$100.
C) decrease by \$100. D) decrease by more than \$100.
- 5) The risk structure of interest rates is _____
A) the relationship among the term to maturity of different bonds.
B) the relationship among interest rates of different bonds with the same maturity.
C) the structure of how interest rates move over time.
D) the relationship among interest rates on bonds with different maturities.
- 6) Of money's three functions, the one that distinguishes money from other assets is its function as a _____
A) unit of account. B) store of value.
C) standard of deferred payment. D) medium of exchange.
- 7) _____ are asymmetric information problems that act as a barrier to efficient allocation of capital.
A) Financial derivatives B) Credit imbalances
C) Asset prices D) Financial frictions
- 8) Everything else held constant, if the expected return on ABC stock rises from 5 to 10 percent and the expected return on CBS stock is unchanged, then the expected return of holding CBS stock _____ relative to ABC stock and the demand for CBS stock _____.
A) rises; rises B) rises; falls C) falls; falls D) falls; rises
- 9) If a forecast is made using all available information, then economists say that the expectation formation is _____
A) rational. B) irrational. C) adaptive. D) reasonable.
- 10) Using the one-period valuation model, assuming a year-end dividend of \$0.11, an expected sales price of \$110, and a required rate of return of 10%, the current price of the stock would be _____
A) \$100.11 B) \$100.10. C) \$121.12. D) \$110.11.

- 11) Everything else held constant, if interest rates are expected to fall in the future, the demand for long-term bonds today _____ and the demand curve shifts to the _____. 11) _____
 A) rises; right B) falls; right C) rises; left D) falls; left
- 12) The three players in the money supply process include 12) _____
 A) banks, borrowers, and the central bank. B) banks, depositors, and the U.S. Treasury.
 C) banks, depositors, and the central bank. D) banks, depositors, and borrowers.
- 13) A major disruption in financial markets characterized by sharp declines in asset prices and firm failures is called a 13) _____
 A) financial crisis. B) free-rider problem.
 C) fiscal imbalance. D) "lemons" problem.
- 14) A problem for equity contracts is a particular type of _____ called the _____ problem. 14) _____
 A) adverse selection; free-rider B) adverse selection; principal-agent
 C) moral hazard; free-rider D) moral hazard; principal-agent
- 15) The sum of the current yield and the rate of capital gain is called the 15) _____
 A) perpetuity yield. B) par value.
 C) rate of return. D) discount yield.
- 16) The average number of times that a dollar is spent in buying the total amount of final goods and services produced during a given time period is known as 16) _____
 A) the money multiplier. B) the spending multiplier.
 C) gross national product. D) velocity.
- 17) The bond supply curve is _____ sloping, indicating a(n) _____ relationship between the price and quantity supplied of bonds, everything else equal. 17) _____
 A) downward; direct B) upward; inverse
 C) upward; direct D) downward; inverse
- 18) When asset prices rise above their fundamental economic values, a(n) _____ occurs. 18) _____
 A) asset-price bubble B) liability war
 C) decrease in moral hazard D) decline in lending
- 19) When the central bank allows the purchase or sale of domestic currency to have an effect on the monetary base, it is called 19) _____
 A) an exchange rate feedback rule.
 B) a sterilized foreign exchange intervention.
 C) a money neutral foreign exchange intervention.
 D) an unsterilized foreign exchange intervention.
- 20) According to the expectations theory of the term structure 20) _____
 A) buyers of bonds prefer short-term to long-term bonds.
 B) buyers require an additional incentive to hold long-term bonds.
 C) the interest rate on long-term bonds will exceed the average of short-term interest rates that people expect to occur over the life of the long-term bonds, because of their preference for short-term securities.
 D) interest rates on bonds of different maturities move together over time.

- 21) Financial markets have the basic function of _____
 A) providing a risk-free repository of spending power.
 B) assuring that governments need never resort to printing money.
 C) getting people with funds to lend together with people who want to borrow funds.
 D) assuring that the swings in the business cycle are less pronounced.
- 22) Well-functioning financial markets _____
 A) cause inflation.
 B) eliminate the need for indirect finance.
 C) cause financial crises.
 D) allow the economy to operate more efficiently.
- 23) In the simple deposit expansion model, if the Fed extends a \$100 discount loan to a bank that previously had no excess reserves, deposits in the banking system can potentially increase by _____
 A) \$10.
 B) \$100.
 C) \$100 times the reciprocal of the required reserve ratio.
 D) \$100 times the required reserve ratio.
- 24) Financial intermediaries develop _____ in things such as computer technology which allows them to lower transactions costs. _____
 A) regulations B) expertise C) diversification D) equity
- 25) _____ are the time and resources spent trying to exchange goods and services. _____
 A) Contracting costs B) Bargaining costs
 C) Barter costs D) Transaction costs
- 26) The spread between the interest rates on bonds with default risk and default-free bonds is called the _____
 A) bond margin. B) default premium.
 C) junk margin. D) risk premium.
- 27) Since the Federal Reserve sets the required reserve ratio to less than one, one dollar of reserves can support _____ of checkable deposits. _____
 A) more than one dollar B) less than one dollar
 C) exactly one dollar D) exactly twice the amount
- 28) A nominal variable, such as the inflation rate or the money supply, which ties down the price level to achieve price stability is called _____ anchor. _____
 A) a nominal B) an operating C) a real D) an intermediate
- 29) The components of the U.S. M1 money supply are demand and checkable deposits plus _____
 A) currency.
 B) currency plus savings deposits.
 C) currency plus travelers checks.
 D) currency plus travelers checks plus money market deposits.
- 30) A stock's price will fall if there is _____
 A) an increase in the future sales price. B) an increase in the required rate of return.
 C) a decrease in perceived risk. D) current dividends are high.

- 31) The presence of _____ in financial markets leads to adverse selection and moral hazard problems that interfere with the efficient functioning of financial markets. 31) _____
 A) costly state verification B) asymmetric information
 C) noncollateralized risk D) free-riding
- 32) If the expected path of one-year interest rates over the next five years is 4 percent, 5 percent, 7 percent, 8 percent, and 6 percent, then the expectations theory predicts that today's interest rate on the five-year bond is 32) _____
 A) 4 percent. B) 5 percent. C) 6 percent. D) 7 percent.
- 33) If a central bank does not want to see its currency fall in value, it may pursue _____ monetary policy to _____ the domestic interest rate, thereby strengthening its currency. 33) _____
 A) expansionary; raise B) contractionary; lower
 C) contractionary; raise D) expansionary; lower
- 34) The theory of portfolio choice suggests that the most important factor affecting the demand for domestic and foreign assets is the _____ on these assets relative to one another. 34) _____
 A) risk B) expected return C) liquidity D) interest rate
- 35) A decrease in the riskiness of corporate bonds will _____ the price of corporate bonds and _____ the price of Treasury bonds, everything else held constant. 35) _____
 A) reduce; increase B) reduce; reduce
 C) increase; reduce D) increase; increase
- 36) The present value of an expected future payment _____ as the interest rate increases. 36) _____
 A) rises B) is constant C) is unaffected D) falls
- 37) The decision by inflation targeters to choose inflation targets _____ zero reflects the concern of monetary policymakers that particularly _____ inflation can have substantial negative effects on real economic activity. 37) _____
 A) below; low B) above; low C) above; high D) below; high
- 38) By bundling share purchases of many investors together mutual funds can take advantage of economies of scale and thereby lower 38) _____
 A) adverse selection. B) diversification.
 C) transactions costs. D) moral hazard.
- 39) Under a fixed exchange rate regime, if a central bank must intervene to purchase the domestic currency by selling foreign assets, then, like an open market sale, this action _____ the monetary base and the money supply, causing the interest rate on domestic assets to _____. 39) _____
 A) reduces; fall B) reduces; rise C) increases; rise D) increases; fall
- 40) A central bank _____ of domestic currency and corresponding _____ of foreign assets in the foreign exchange market leads to an equal decline in its international reserves and the monetary base, everything else held constant. 40) _____
 A) sale; sale B) purchase; purchase
 C) purchase; sale D) sale; purchase

PART II: OPEN QUESTIONS

Instructions. You must provide all answers in the determined area for the question. Anything that you write outside the determined area will not be considered for grading purposes. There are two questions in this part.

1. (10 pts) A small open economy with a floating exchange rate is in recession with balanced trade. If policymakers want to reach full employment while maintaining balanced trade, what combination of monetary and fiscal policy should they choose? Please provide a graphical analysis and explain the economic intuition.

10 pts

2. Use the Mundell-Fleming model to answer the following questions about the state of California (a small open economy).

10 pts

- (a) (2 pts) What kind of exchange-rate system does California have with its major trading partners (Alabama, Alaska, Arizona,...)?
- (b) (4 pts) If California suffers from a recession, should the state government use monetary or fiscal policy to stimulate employment? Explain. (*Note: For this question, assume that the state government can print dollar bills*)
- (c) (4 pts) If California prohibited the import of wines from the state of Washington, what would happen to income, the exchange rate, and the trade balance?